

Increasing Average Order Value (AOV) on Zepto

- Product Strategy Proposal

GROUP 24

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Problem Context



Objective

Quick commerce platforms rely heavily on Average Order Value (AOV) to achieve healthy unit economics.



Current situation

-  Users order frequently but basket sizes remain small.
-  Many orders are urgency-driven.
-  Users stop adding items once their immediate need is fulfilled.



Key question

How can Zepto increase basket size without compromising speed and convenience?

Research Insights from Survey Data



Key behavioural signals:



41.7%

below ₹200



25%

₹200 – ₹400



50%

1–2 items



41.7%

prices feel high



41.7%

missing deals



58%

ignore suggestions

Insight:



Zepto is widely used as a quick top-up platform rather than a full grocery shopping destination.

User Segmentation



1. Urgent Top-Up Buyers

Frequent small orders (1-2 items). Convenience driven.



2. Discount-Sensitive Shoppers

Increase order size only during promotions.



3. Planned Grocery Buyers

Higher basket size but lower frequency.



4. Late Night Snack / Convenience Buyers

Impulse purchases with limited product variety.

Insight: Low AOV is primarily driven by the first two segments.

Where Basket Expansion Breaks



Discovery Stage



Users search for a specific item and stop browsing other categories.

Cart Stage



Limited incentives to add complementary products before checkout.

Root cause: The current experience optimizes for speed rather than basket expansion.

Problem Statement



The Low AOV Cycle

Users place small urgent orders with only 1–2 items, because Zepto is perceived primarily as a quick convenience platform and prices feel relatively high, which results in low Average Order Value despite high order frequency.



Core challenge:

Encourage cart expansion while preserving the quick-commerce experience.



Proposed Solution 1 – Smart Bundle Recommendations

Idea: Introduce dynamic bundles of complementary products



Example: Milk + Bread + Eggs, etc.

Target segments:

- Urgent Top-Up Buyers
- Discount-Sensitive Shoppers

Mechanism:

Bundles reduce decision friction and provide visible savings.

Expected impact:

- Higher items per order
- Faster cross-category discovery
- Natural increase in basket size

Proposed Solution 2 – Free Delivery Threshold Nudges



Idea: Introduce a cart progress bar that nudges users to reach a free delivery threshold.



Example: Add ₹120 more to unlock FREE delivery.”



Target segments:

- Discount-Sensitive Shoppers
- Planned Grocery Buyers



Behavioural principle:

- Goal-Gradient Effect – users are more likely to complete a goal when they are close to it.



Expected impact:

- Users add one or two additional items to unlock free delivery.

Proposed Solution 3 – Personalized Recommendations



Idea: AI-driven product recommendations based on user purchase history.



Examples:

- Customers who bought milk also bought bread.
- Add fruits to complete your grocery basket.



Target segments:

- Frequent users
- Planned grocery buyers



Impact:

Higher relevance increases trust and cross-category exploration.

Solution Prioritization – RICE Framework



$$\text{RICE Score} = (\text{Reach} \times \text{Impact} \times \text{Confidence}) \div \text{Effort}$$

- Using simplified scoring: High = 3, Medium = 2, Low = 1
- **Free Delivery Nudges** is the Winner solution as it has the highest RICE Score. 

Proposed Solutions	Reach	Impact	Confidence	Effort	Score
Free Delivery Nudges	3	3	2	2	9
Smart Bundles	2	3	2	2	6
Personalized Recommendations	2	2	2	3	2.67

Why Prioritize Free Delivery Nudges

Reasons:



High scalability across the entire user base



Strong **behavioural motivation**



Low implementation complexity



Proven mechanism in e-commerce platforms

Expected business impact:



Higher **basket sizes**



Improved **delivery cost efficiency**



Better **contribution margin** per order.

Success Metrics

Primary Metric



Average Order Value (AOV)

Secondary Metrics



Items per order



Attach rate of recommended products



Threshold completion rate



Bundle adoption rate



Guardrail Metrics



Conversion rate



Order frequency



Experimentation Strategy

Run A/B tests to determine the optimal free delivery threshold.



Experiment

Variant A



Free delivery
above **₹199**

Variant B



Free delivery
above **₹249**

Variant C



Free delivery
above **₹299**

Measure:



AOV uplift



Profit per order



Customer behavior changes



Goal: Increase basket size while maintaining profitability.

Business Risks & Cost Considerations

Delivery Subsidy Cost



If threshold is too low, Zepto absorbs delivery costs.

Margin Dilution



Users may add low-margin items to unlock free delivery.

Inventory Impact



Higher basket size increases dark store inventory demand.

Mitigation



Optimize thresholds through experimentation and margin analysis.

Conclusion

Problem Summary



Low AOV driven by urgent, single-item purchases and lack of cart expansion incentives.

Strategic Solutions

-  Smart Bundles
-  Free Delivery Nudges
-  Personalized Recommendations

Expected Outcome



Encourage natural basket expansion, increase AOV, and maintain quick-commerce promise.



THANK YOU